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Subject: Enron Reuters folder: UK: Minor metals - Cobalt bounces, rhodium steadies.

UK:
Minor metals - Cobalt bounces, rhodium steadies.

11/16/2000
Reuters English News Service

LONDON, Nov 16 (Reuters) - Cobalt finally rallied after a lengthy downturn this week, while the rhodium price spike ran out of steam and antimony continued to drift in thin trade, traders said.

COBALT REVERSES DECLINE
Cobalt prices finally reversed their recent steady decline this week, with high-grade metal in particular boosted by a positive response to the latest tender of stockpile material by the U.S. Defense Logistics Agency (DLA).

"We've seen higher bids from China in the last couple of days, and European customers are also coming in at higher levels - it looks like the market has turned," said one trader on Thursday. He quoted a range for Russian 99.3 per cent material of $11.50-12.00.

Other traders said, however, that some cheap offers of Russian metal in the $10.80-11.00 range were still in the market.

Swiss-based trader Glencore was the high bidder among five companies at the DLA's November 15 tender for 597,992 lbs of over 99.9 percent pure cobalt cathodes.

The company offered prices ranging from $11.04 to $13.02 per lb for 17 lots.

Other bidders were Enron Metals and Commodities, Voss Metals, SFP and Carolmet.

Despite the high cobalt content in the Gecamines cathodes offered by the DLA, the material attracts a discount to current prices for Inco and Falconbridge material, traders said.

"It's Congolese material that's been out of production for about seven years, and a lot of the superalloy users have amended their specs lists in the meantime," said one.

"Even though chemically it's perfect for their needs, a number of them don't have official approval to use it, and that will take a while to come through," he added.

High-grade prices on Australian producer WMC Ltd's website, www.wmc-cobalt.com, jumped by $2 in the space of 24 hours.

The company reported a sale at $13.25 a lb - the lowest level since late July - on November 15, but subsequently did business up to $14.60 and was offering at $15.25, basis November, CIF main Asian ports or delivered works Europe and North America by Thursday. Total sales for the week to date exceeded 50 tonnes.

"The price gets to a point where it's so low that people can't hold back any longer, and once it starts going up buyers come in for fear of missing the boat," said another trader.

ANTIMONY STEADY, TRADE THIN

Antimony prices were steady in thin trade this week, with 99.65 percent material indicated in a range of $1,450/1,550 a tonne.

Cheap material currently on offer, although the antinony content is 99.65 percent, often contains sufficient quantities of impurities such as bismuth to make it unusable for trioxide producers, consumers said.

"We've seen offers around $1,450 but to get good-quality Hunan material trioxide producers would have to pay around $100 more than that," said one.

The market is unlikely to feel the full impact of the Chinese clampdown on fresh export licenses for this year until stocks already in Europe have been used up, traders said.

"There's a lot of material either in Rotterdam or afloat - once this is used up I think we'll see prices pick up again."

Export licenses for 2001 are expected to be granted around the end of January, with fresh metal unlikely to be shipped until the following month, traders said.

RHODIUM PRICES STABILISE

Rhodium prices softened marginally as the market stabilised following last week's sharp short-covering rally, traders said.

"We've seen a slight easing back, though there are plenty of Japanese companies lining up to take material on spot or long-term contracts if they don't feel they can trust the Russian side of things," said one.

Spot free-market rhodium was quoted at around $2,050/$2,150 an ounce, down some $50 from last week's highs, although traders said spot material remains tight.

Sales of rhodium to auto-makers are up strongly in 2000, boosted by higher vehicle production, tighter emissions legislation and changes in the platinum group metals mix in autocatalysts, Johnson Matthey said this week in its Platinum 2000 interim review.

On the supply side, Russian supplies of rhodium were seen totalling 280,000 ounces in 2000, more than four times last year's total, JM said. The precious metals refiner forecast total global supplies of rhodium to jump 236,000 ounces to 737,000 ounces this year, with South African supplies seen rising to 434,000 ounces.

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